

net return over 22 percent, more than doubling the corresponding 10 percent return of the HFRI Emerging Markets index.

Taylor achieved his substantially higher returns, while having much smaller drawdowns than both long-only and hedge fund emerging market indexes. He was the only long-only manager to avoid a loss in 1998. He also did extremely well during the 2000 to 2002 bear market, with his hedge fund up 27 percent annualized during that period. Taylor's only losing year was 2008, but even then his loss was less than one-third the long-only index decline and 40 percent of the hedge fund index loss.

I interviewed Taylor at his home in a suburb of London, which I reached on a pleasing walk from the train station, passing through the town park on a sunny, breezy Saturday morning in late April. We talked in the living room, sitting beneath a large English impressionistic painting, aptly named *Harvest Storm*. Taylor was dressed very casually in shorts and a T-shirt, ready to depart for the weekend as soon as we finished talking. His family had left for a trip to the grandparents about an hour into our conversation. To allow adequate time for our meeting, Taylor had graciously scheduled to leave later, planning to catch an afternoon train. I had estimated we would need at least three hours. Our conversation lasted more than five hours and could easily have carried on longer, but both Taylor and I were conscious of his delayed departure. One chunk of our conversation regarding Russia proved unusable, as Taylor capped that portion of his narrative by saying, "You know, you can't use any of that. Russia is not a country where you want to make enemies."



When did you first get interested in markets?

I came to it quite late, actually, and entirely by chance. I went to university during the booming 1980s. Everyone wanted to get a job in the city because that was where you made a lot of money.³ But it didn't particularly interest me. I came from a left-wing background. My dad was a labor counselor for 35 years. For my parents, working in the city was anathema. It was all about rich capitalists ripping off the rest of the economy for no net gain to society. I graduated in 1990 in the middle of a pretty nasty recession.